

FEDERAL MARITIME COMMISSION

COLOR BRANDS, LLC

v.

AAF LOGISTICS, INC.

Docket No. 22-18

Served: January 18, 2024

BY THE COMMISSION: Daniel B. MAFFEI, *Chairman*; Rebecca F. DYE, Louis E. SOLA, Carl W. BENTZEL, and Max M. VEKICH, *Commissioners*.

Order Affirming Initial Decision In Part and Remanding In Part

I. INTRODUCTION

On August 30, 2022, Color Brands, LLC (Color Brands) filed a complaint against AAF Logistics, Inc. (AAF) alleging Shipping Act violations and asking for reparations. On January 27, 2023, the Administrative Law Judge (ALJ) issued an Initial Decision on Default (I.D.) awarding reparations to Complainant. On February 23, 2023, the Federal Maritime Commission (Commission) determined to review the I.D.

For the reasons discussed below, the Commission remands this proceeding to the ALJ to determine the basis for reparations and the correct award amount.

II. BACKGROUND

Complainant Color Brands is a Michigan corporation and exports shipments. Complaint at ¶¶ 1, 7. Respondent AAF is a

California corporation and a common carrier within the meaning of the Shipping Act. *Id.* at ¶ 2.

Color Brands claimed that “[s]ince August 1, 2019, over 1,250 shipments took place with repeated requests by Color Brands that AAF provide proof of insurance coverage.” *Id.* at ¶ 14. Color Brands alleged that: it “has shipped with AAF freight with a stated value of \$37,057,209.14;” “AAF charged an average rate of [0.32%] of value for the requested insurance coverage;” and “[t]his converts to Color Brands paying AAF \$118,583.07 for such coverage.” *Id.* Despite Color Brands making payments for cargo insurance coverage for over 1,250 shipments, “AAF has provided proof of insurance coverage only three times which is when so required under letter of credit terms.” *Id.*

Color Brands also stated that some shipments were delivered with physical damage and were also delayed, and claims that AAF has engaged in a pattern of improper practices in handling those damage claims, and “[a]s a result of AAF’s improper practices, Color Brands has been damaged in the principal amount of \$204,041.10.” *Id.* at ¶¶ 15-20. Color Brands averred that “AAF had otherwise said insurance coverage was not obtained for Color Brands’s shipments, thus, it appears AAF has been charging and been paid for cargo insurance coverage but not, in fact, obtaining such coverage.” *Id.* at ¶ 12. Color Brands stated that “[it] had been given no information on [] who the cargo was covered by, or who the insurer was” for its eighteen damaged shipments. *Id.* at ¶ 13.

AAF did not respond to the complaint or otherwise participate in the proceeding. See I.D. at 1. On November 28, 2022, Color Brands filed a motion seeking default and entry of a default judgment. On January 27, 2023, the ALJ issued an Initial Decision on Default awarding reparations to Complainant, stating that “Complainant alleges violations of the Shipping Act and a pattern of conduct sufficient to demonstrate a violation of the Shipping Act.” *Id.* at 4.

III. DISCUSSION

A. Initial Decision on Default

As of the date of the ALJ’s issuance of the I.D., “AAF has failed to respond to the complaint, the initial order, the order to show cause, the motion for default, or the order to respond to the motion for default.” I.D. at 2. “AAF has been advised that a default may be

entered against it in numerous orders as well as by the attorneys it hired to represent it.” *Id.* “Despite multiple warnings that failure to respond would result in a default decision, AAF has failed to respond or participate in this proceeding.” *Id.* at 3. “In addition, Respondent hired attorneys to represent it but decided to terminate their service.” *Id.*

Respondent AAF was aware of this proceeding against it. That is demonstrated by the fact that AAF hired attorneys to represent it in this proceeding, although it terminated the attorneys’ service about a month later. AAF, however, failed to participate in this proceeding despite many opportunities to do so and numerous notices and ALJ orders.

Therefore, the ALJ’s determination of a default against AAF was proper. *See* 46 C.F.R. § 502.62(b)(6)(i) (failure of a party to file an answer within the time provided will be deemed to authorize the presiding officer to enter an initial decision on default). *See also* 46 C.F.R. §§ 502.65(b)-(c) (when a party is found to be in default, the Commission or the presiding officer may issue a decision on default upon consideration of the record, and the presiding officer may require additional information or clarification when needed to issue a decision on default, including a determination of the amount of reparations).

B. Reparations

Although the Initial Decision on Default was properly issued, we remand for further consideration the award of reparations in the amount of \$322,624.17, plus interest.

The Shipping Act provides that “the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of [the Shipping Act].” 46 U.S.C. § 41305(b). The term “‘actual injury’ includes the loss of interest at commercial rates compounded from the date of injury.” 46 U.S.C. § 41305(a). The Commission, however, must order payment of reparations and interest only if “the complaint was filed within the period specified in section 41301(a).” 46 U.S.C. § 41305(b). In turn, section 41301(a) provides that “[i]f the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” 46 U.S.C. § 41301(a). *See also* 46 C.F.R. § 502.62(a)(4)(iii) (“[a] complaint seeking reparation must be filed within three years after the claim accrues”).

Color Brands filed its complaint on August 30, 2022. Color Brands’s complaint, however, states that “[s]ince August 1, 2019, over 1,250 shipments took place with Color Brands repeated request that AAF provide proof of insurance coverage.” Complaint at ¶ 14. Even if we accept the factual allegations of the complaint as true in the context of Complainant’s motion for entry of default judgment, it is clear that some of the injury might have occurred more than three years before Color Brands’ filing of its complaint with the Commission. Any such injury must be excluded from the reparations amount.

In addition to reparations, the I.D. awarded interest and stated that “Color Brands is also entitled to interest running from December 17, 2021, when it requested evidence of insurance, to be calculated by the Commission when this judgment and decision become administratively final.” I.D. at 5. The Shipping Act requires the Commission to award the loss of interest at commercial rates compounded from the date of injury. *See* 46 U.S.C. § 41305(a). The allegation shows, however, that December 17, 2021, was not the date of injury for Color Brands’s insurance premium claim. The date appears in paragraph 9 of the complaint. That paragraph states that “[o]n December 17, 2021, Color Brands requested evidence of insurance on orders through AAF that had received damages in transit.” Complaint at ¶ 9. Color Brands claimed that its cargoes were damaged for a “total of eighteen orders.” *Id.* at ¶ 13. December 17, 2021, was the date on which Color Brands requested evidence of insurance only for its damaged cargoes. Color Brands’ complaint, however, states that “over 1,250 shipments took place with Color Brands repeated requests that AAF provide proof of insurance coverage.” *Id.* at ¶ 14. As Color Brands claims injury of \$118,583.07 for cargo insurance premium for its “over 1,250 shipments,” the proper date of injury for this claim may be the date of each shipment for which Color Brands paid cargo insurance premium but AAF failed to purchase such coverage. Color Brands should be able to provide the relevant information and, if necessary, supporting documents. In addition, Color Brands also stated that “AAF had provided proof of insurance coverage only three times which is when so required under letter of credit terms.” *Id.* at ¶ 14. Therefore, inasmuch as AAF purchased cargo insurance coverage for some of the shipments, Color Brands’ insurance premium claim should be reduced accordingly.

Nor is December 17, 2021, the date of injury for Color Brands’ improper practices claims. Color Brands is claiming that it was injured with respect to its damaged shipments because AAF did not purchase cargo insurance coverage even though Color Brands

paid AAF for such coverage, and thus Color Brands could not recover their cargo damages from cargo insurers. *See* Complaint at ¶¶ 7 - 20. As Color Brands claims they could not recover cargo damages from cargo insurers because of AAF's failure to secure such insurance coverage in spite of Color Brands' payment of insurance premium for such insurance coverage, the dates of injury for these claims should be the dates on which Color Brands' cargoes were damaged. Color Brands should be able to provide the relevant information and, if necessary, supporting documents for its improper practices claims.

Given, among other things, AAF's failure to participate in this proceeding, there is no evidence in the record to assure the Commission that \$322,624.17 is the proper and lawful amount that should be awarded. Considering, however, that Color Brands alleges that there were more than 1,250 shipments, it may be burdensome for Color Brands to submit all the relevant shipping documents and for the Commission to review all those documents. Instead, pursuant to the Commission's regulation for reparations with respect to multiple shipments, the ALJ should be able to determine the reasonable date or dates of injury. 46 C.F.R. § 502.251 (if many shipments are involved, the Commission will determine the issues as to violations, injury to complainant, and right to reparation; in certain cases, freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced unless called for or needed to develop other pertinent facts). For example, for Color Brands' insurance premium claims, it would not appear to be unreasonable to determine that the mid-point date of the period of all eligible shipments was the date of injury for the claim, because such a date may award Color Brands approximately the same amount of interest as being calculated using each shipment date, by evening out the earlier and later dates of injury.

IV. CONCLUSION

Although the Initial Decision on Default was properly issued, we remand for further consideration the award of reparations in the amount of \$322,624.17, plus interest.

IT IS ORDERED that the ALJ's determination of a default against AAF Logistics, Inc. is affirmed.

IT IS FURTHER ORDERED that the ALJ’s determination with respect to the reparations amount and date of injury is vacated, and this case is remanded to the ALJ for further proceedings consistent with this order.

By the Commission

David Eng
Secretary